

# Industrial production unchanged in April

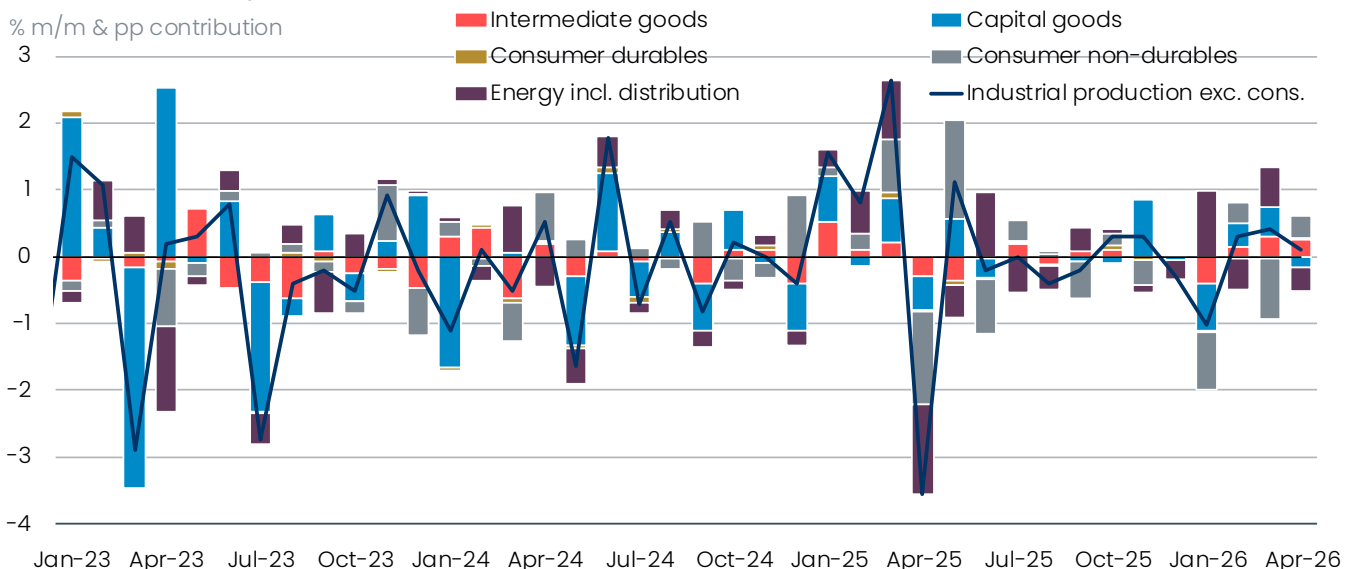
- Eurozone industrial production was broadly unchanged in April, growing just 0.1% m/m and in line with the signal from earlier national releases. The industrial sector has shown remarkable resilience and hasn't contracted since the beginning of the US/Israel conflict with Iran. However, given the current pace of growth it will not contribute meaningfully to growth in Q2.
- Monthly gains in consumer and intermediate goods were offset by declines in energy and capital goods. But we would not overstate the consumer-goods strength: while both durable and non-durable goods rose on the month, output remains sharply lower than a year ago.

Eurozone industrial production (excluding construction) rose 0.1% m/m in April, following an upwardly revised 0.4% m/m expansion in March. The expansion was led by both non-durable consumer goods up 1.7% m/m and durable consumer goods up 1.0% m/m. But we would not overstate this as a signal of consumption resilience as both categories remain significantly lower than a year ago. Contrastingly, energy production was down 0.4% m/m, but up 1.6% y/y. We expect that [aggregate resilience](#) will be a boost to energy intensive firms and offset contractions more consumer oriented sectors. At a country level, [German](#) and French industrial output were flat, while an expansion in Italy was offset by a contraction in Spain.

Overall, April's industrial production print supports our view that the industry entered the quarter on a decent footing, but we don't expect it will provide a large boost to GDP in the near term. If today's news of a peace deal between Iran and the US leads to a quick reopening of the Strait of Hormuz, the sector may see some additional tailwinds over the coming months, but for now we remain cautious given the lack of details and the volatile nature of the conflict.

**Chart 1: Consumer goods production expanded, but from a low base**

## Eurozone: Industrial production breakdown



Sources: Oxford Economics, Haver Analytics